



Virginia
Retirement
System®

**VIRGINIA RETIREMENT SYSTEM
TEACHER RETIREMENT PLAN**

GASB No. 68 Schedules

With Independent Auditor's Report Thereon

For the Plan Year Ended June 30, 2023

Table of Contents

Independent Auditor’s Report	3
VRS Teacher Retirement Plan – Schedule of Employer Allocations.....	6
VRS Teacher Retirement Plan – Schedule of Employer Allocation of Non-Employer Contributions.....	10
VRS Teacher Retirement Plan – Schedule of Net Pension Liability and Total Pension Expense.....	14
VRS Teacher Retirement Plan – Schedule of Deferred Outflows and Deferred Inflows of Resources by Employer.....	18
VRS Teacher Retirement Plan – Notes to GASB No. 68 Schedules.....	23



Staci A. Henshaw, CPA
Auditor of Public Accounts

Commonwealth of Virginia

Auditor of Public Accounts

P.O. Box 1295
Richmond, Virginia 23218

June 5, 2024

The Honorable Glenn Youngkin
Governor of Virginia

Joint Legislative Audit
and Review Commission

Board of Trustees
Virginia Retirement System

Patricia S. Bishop, Director
Virginia Retirement System

INDEPENDENT AUDITOR'S REPORT

Report on the Schedules

Opinions

We have audited the accompanying Schedule of Employer Allocations and the Schedule of Employer Allocation of Non-Employer Contributions (schedules of employer allocations) of the Virginia Retirement System Teacher Retirement Plan as of and for the year ended June 30, 2023, and the related notes. We have also audited the total for teacher employers of the columns titled Net Pension Liability, Total Pension Expense (Revenue), Total Deferred Outflows of Resources, and Total Deferred Inflows of Resources (specified column totals) included in the accompanying Schedule of Net Pension Liability and Total Pension Expense and the Schedule of Deferred Outflows and Deferred Inflows of Resources by Employer of the Virginia Retirement System Teacher Retirement Plan (schedules of pension amounts) as of and for the year ended June 30, 2023, and the related notes.

In our opinion, the schedules referred to above present fairly, in all material respects, the employer allocations and employer allocation of non-employer contributions; and the net pension liability, total pension expense, total deferred outflows of resources, and total deferred inflows of resources, for the total of all participating teacher employers for the Virginia Retirement System Teacher Retirement Plan as of and for the year ended June 30, 2023, in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Schedules section of our report. We are required to be independent of the Virginia Retirement System Teacher Retirement Plan, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Schedules

Management is responsible for the preparation and fair presentation of these schedules in accordance with accounting principles generally accepted in the United States of America and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the schedules that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibilities for the Audit of the Schedules

Our objectives are to obtain reasonable assurance about whether the schedules of employer allocations and the specified column totals included in the schedules of pension amounts are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the schedules of employer allocations and the specified column totals included in the schedules of pension amounts.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the schedules of employer allocations and the specified column totals included in the schedules of pension amounts, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the schedules of employer allocations and the specified column totals included in the schedules of pension amounts.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Virginia Retirement System's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the schedules of employer allocations and the specified column totals included in the schedules of pension amounts.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Other Matter

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the Virginia Retirement System as of and for the year ended June 30, 2023, and our report thereon, dated December 14, 2023, expressed an unmodified opinion on those financial statements.

Restriction on Use

Our report is intended solely for the information and use of the Governor, the Joint Legislative Audit and Review Commission, Virginia Retirement System management, the Virginia Retirement System Board of Trustees, and Virginia Retirement System Teacher Retirement Plan employers and their auditors and is not intended to be and should not be used by anyone other than these specified parties.

Staci A. Henshaw
AUDITOR OF PUBLIC ACCOUNTS

ZLB/clj

**Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocations
For the Plan Year Ended and Measurement Date of June 30, 2023**

Employer Code	Employer	Employer Contributions	Employer Allocation Percentage
40100	Accomack County School Board	\$ 4,873,699	0.30874%
40101	Albemarle County Schools	19,353,135	1.22600%
40102	Alleghany County School Board	2,893,321	0.18329%
40103	Amelia County School Board	1,595,852	0.10110%
40104	Amherst County School Board	4,515,887	0.28608%
40105	Appomattox County School Board	2,208,196	0.13989%
40106	Arlington Public Schools	57,699,731	3.65522%
40107	Augusta County School Board	11,118,034	0.70432%
40108	Bath County School Board	765,925	0.04852%
40109	Bedford County School Board	9,360,508	0.59298%
40110	Bland County School Board	657,996	0.04168%
40111	Botetourt County Schools	4,963,835	0.31445%
40112	Brunswick County Public Schools	1,397,659	0.08854%
40113	Buchanan County School Board	2,289,204	0.14502%
40114	Buckingham County School Board	2,128,917	0.13486%
40115	Campbell County School Board	7,682,134	0.48666%
40116	Caroline County School Board	4,085,711	0.25883%
40117	Carroll County School Board	3,857,649	0.24438%
40118	Charles City County School Board	655,491	0.04152%
40119	Charlotte County School Board	3,273,957	0.20740%
40120	Chesterfield County School Board	64,462,267	4.08362%
40121	Clarke County School Board	2,265,906	0.14354%
40122	Craig County School Board	632,541	0.04007%
40123	Culpeper County School Board	8,300,592	0.52583%
40124	Cumberland County School Board	1,541,884	0.09768%
40125	Dickenson County School Board	1,831,852	0.11605%
40126	Dinwiddie County School Board	4,540,091	0.28761%
40128	Essex County Public Schools	1,406,401	0.08909%
40129	Fairfax County School Board	276,879,629	17.54004%
40130	Fauquier County School Board	13,781,375	0.87304%
40131	Floyd County School Board	1,893,471	0.11995%
40132	Fluvanna County Public Schools	4,300,379	0.27242%
40133	Franklin County Public Schools	7,164,047	0.45383%
40134	Frederick County School Board	16,883,233	1.06954%
40135	Giles County Schools	2,449,772	0.15519%
40136	Gloucester County School Board	5,887,191	0.37295%
40137	Goochland County School Board	2,985,048	0.18910%
40138	Grayson County School Board	1,783,777	0.11300%

**Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocations
For the Plan Year Ended and Measurement Date of June 30, 2023**

Employer Code	Employer	Employer Contributions	Employer Allocation Percentage
40139	Greene County Public Schools	3,256,252	0.20628%
40140	Greensville County School Board	2,389,333	0.15136%
40141	Halifax County School Board	5,205,983	0.32979%
40142	Hanover County School Board	19,237,292	1.21866%
40143	Henrico County School Board	52,190,635	3.30622%
40144	Henry County Public Schools	7,149,234	0.45290%
40145	Highland County Public Schools	318,617	0.02018%
40146	Isle of Wight County Schools	5,984,651	0.37912%
40148	King George County School Board	4,544,689	0.28790%
40149	King & Queen County School Board	924,359	0.05856%
40150	King William County School Board	2,017,579	0.12781%
40151	Lancaster County Public Schools	1,087,695	0.06890%
40152	Lee County School Board	3,290,299	0.20844%
40153	Loudoun County School Board	130,822,489	8.28747%
40154	Louisa County Public Schools	6,071,620	0.38463%
40155	Lunenburg County School Board	1,695,521	0.10741%
40156	Madison County School Board	1,862,060	0.11796%
40157	Mathews County School Board	1,284,571	0.08138%
40158	Mecklenburg County School Board	4,299,907	0.27239%
40159	Middlesex County School Board	1,650,637	0.10457%
40160	Montgomery County School Board	10,741,177	0.68044%
40162	Nelson County Public Schools	2,027,544	0.12844%
40163	New Kent County School Board	3,452,732	0.21873%
40165	Northampton County Schools	1,550,732	0.09824%
40166	Northumberland County School Board	1,624,619	0.10292%
40167	Nottoway County School Board	1,882,136	0.11923%
40168	Orange County Public Schools	4,964,160	0.31447%
40169	Page County Public Schools	3,447,583	0.21840%
40170	Patrick County School Board	2,341,279	0.14832%
40171	Pittsylvania County School Board	8,242,966	0.52218%
40172	Powhatan County School Board	4,456,656	0.28232%
40173	Prince Edward County School Board	1,790,687	0.11344%
40174	Prince George County School Board	5,958,351	0.37746%
40176	Prince William County School Board	113,259,491	7.17487%
40177	Pulaski County School Board	4,191,215	0.26551%
40178	Rappahannock County School Board	1,125,032	0.07127%
40179	Richmond County School Board	1,370,947	0.08685%
40180	Roanoke County School Board	14,839,489	0.94007%

**Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocations
For the Plan Year Ended and Measurement Date of June 30, 2023**

Employer Code	Employer	Employer Contributions	Employer Allocation Percentage
40181	Rockbridge County School Board	3,031,432	0.19204%
40182	Rockingham County School Board	13,177,236	0.83476%
40183	Russell County School Board	3,221,914	0.20410%
40184	Scott County School Board	3,871,789	0.24527%
40185	Shenandoah County School Board	6,610,593	0.41877%
40186	Smyth County School Board	4,206,435	0.26647%
40187	Southampton County School Board	2,356,780	0.14930%
40188	Spotsylvania County School Board	24,286,627	1.53853%
40189	Stafford County School Board	33,455,787	2.11939%
40190	Surry County Schools	1,266,641	0.08024%
40191	Sussex County School Board	1,402,276	0.08883%
40192	Tazewell County Schools	4,630,338	0.29333%
40193	Warren County School Board	5,827,523	0.36917%
40195	Washington County School Board	6,399,314	0.40539%
40196	Westmoreland County School Board	1,731,259	0.10967%
40197	Wise County School Board	5,602,059	0.35488%
40198	Wythe County School Board	4,007,036	0.25384%
40199	York County School Board	12,958,461	0.82091%
40200	Alexandria City School Board	27,610,368	1.74909%
40201	Bristol City School Board	2,413,638	0.15290%
40202	Buena Vista City Schools	891,818	0.05650%
40203	Charlottesville Public Schools	6,970,463	0.44157%
40205	Danville City Schools	6,696,809	0.42424%
40206	Fredericksburg City Schools	4,621,451	0.29276%
40207	Hampton City Schools	20,738,477	1.31376%
40208	Harrisonburg City School Board	8,418,095	0.53328%
40209	Hopewell City School Board	5,031,445	0.31874%
40210	Lynchburg Public Schools	9,840,281	0.62337%
40211	Newport News Public Schools	29,654,303	1.87857%
40212	Norfolk Public Schools	35,633,497	2.25735%
40213	Petersburg City Schools	4,658,921	0.29514%
40214	Portsmouth School Board	13,762,367	0.87183%
40215	Radford City School Board	1,659,471	0.10513%
40216	Richmond Public Schools	32,924,146	2.08571%
40217	Roanoke City School Board	17,573,361	1.11325%
40219	Staunton City Schools	3,370,347	0.21351%
40220	Suffolk City School Board	14,648,776	0.92798%
40222	Winchester Public Schools	5,717,792	0.36222%

**Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocations
For the Plan Year Ended and Measurement Date of June 30, 2023**

Employer Code	Employer	Employer Contributions	Employer Allocation Percentage
40223	Martinsville City Schools	1,995,492	0.12641%
40224	Falls Church Public Schools	5,070,158	0.32119%
40225	Colonial Heights City Schools	3,586,603	0.22721%
40231	Fairfax City School Board	16,386	0.00104%
40232	Franklin City Public Schools	1,275,545	0.08080%
40233	Chesapeake Public Schools	47,899,258	3.03437%
40234	Virginia Beach City School Board	73,628,541	4.66432%
40236	Manassas Park City Schools	4,164,116	0.26379%
40306	Town of West Point School Board	1,003,532	0.06357%
40307	Lexington City School Board	600,323	0.03803%
40308	Waynesboro Public Schools	3,739,394	0.23689%
40309	Town of Colonial Beach Schools	756,764	0.04794%
40313	Galax City Schools	1,450,822	0.09191%
40314	Norton City Schools	786,321	0.04981%
40332	Manassas City Schools	10,789,175	0.68348%
40335	City of Salem Schools	4,458,974	0.28247%
40402	Williamsburg-James City County School Board	13,438,534	0.85132%
40403	Poquoson City Public Schools	2,012,018	0.12746%
40410	Valley Vocational Technical Center	369,291	0.02339%
40412	Charlottesville/Albemarle Vo-Tech Center	272,576	0.01727%
40415	New Horizons Technical Center	1,629,031	0.10320%
40416	Northern Neck Regional Vocational Center	164,303	0.01041%
40417	Rowanty Vocational Technical Center	159,018	0.01007%
40418	Amelia-Nottoway Vocational Center	60,051	0.00380%
40421	Northern Neck Regional Special Education Program	119,228	0.00755%
40423	Maggie Walker Governor's School for Govt & Intl Studies	817,990	0.05182%
40424	Appomattox Region Governor's School	394,158	0.02497%
40425	Bridging Communities Regional Career and Tech Center	104,253	0.00660%
Total for Teacher Employers⁽¹⁾		\$ 1,578,557,697	100.00000%

⁽¹⁾ Employer-level results may not add to Teacher system-wide results due to rounding.

The accompanying notes are an integral part of the Schedule of Employer Allocations.

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocation of Non-Employer Contributions
For the Plan Year Ended and Measurement Date of June 30, 2023

Employer		2023 Non- Employer Contributions⁽¹⁾	2023 Employer Allocation Percentage
Code	Employer		
40100	Accomack County School Board	\$ 455,259	0.30874%
40101	Albemarle County Schools	1,807,823	1.22600%
40102	Alleghany County School Board	270,274	0.18329%
40103	Amelia County School Board	149,079	0.10110%
40104	Amherst County School Board	421,845	0.28608%
40105	Appomattox County School Board	206,278	0.13989%
40106	Arlington Public Schools	5,389,879	3.65522%
40107	Augusta County School Board	1,038,569	0.70432%
40108	Bath County School Board	71,546	0.04852%
40109	Bedford County School Board	874,391	0.59298%
40110	Bland County School Board	61,460	0.04168%
40111	Botetourt County Schools	463,679	0.31445%
40112	Brunswick County Public Schools	130,558	0.08854%
40113	Buchanan County School Board	213,842	0.14502%
40114	Buckingham County School Board	198,861	0.13486%
40115	Campbell County School Board	717,614	0.48666%
40116	Caroline County School Board	381,663	0.25883%
40117	Carroll County School Board	360,355	0.24438%
40118	Charles City County School Board	61,224	0.04152%
40119	Charlotte County School Board	305,826	0.20740%
40120	Chesterfield County School Board	6,021,585	4.08362%
40121	Clarke County School Board	211,660	0.14354%
40122	Craig County School Board	59,086	0.04007%
40123	Culpeper County School Board	775,373	0.52583%
40124	Cumberland County School Board	144,036	0.09768%
40125	Dickenson County School Board	171,124	0.11605%
40126	Dinwiddie County School Board	424,101	0.28761%
40128	Essex County Public Schools	131,369	0.08909%
40129	Fairfax County School Board	25,864,020	17.54004%
40130	Fauquier County School Board	1,287,359	0.87304%
40131	Floyd County School Board	176,875	0.11995%
40132	Fluvanna County Public Schools	401,702	0.27242%
40133	Franklin County Public Schools	669,204	0.45383%
40134	Frederick County School Board	1,577,112	1.06954%
40135	Giles County Schools	228,839	0.15519%
40136	Gloucester County School Board	549,941	0.37295%
40137	Goochland County School Board	278,841	0.18910%

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocation of Non-Employer Contributions
For the Plan Year Ended and Measurement Date of June 30, 2023

Employer		2023 Non- Employer Contributions⁽¹⁾	2023 Employer Allocation Percentage
Code	Employer		
40138	Grayson County School Board	166,626	0.11300%
40139	Greene County Public Schools	304,174	0.20628%
40140	Greensville County School Board	223,191	0.15136%
40141	Halifax County School Board	486,299	0.32979%
40142	Hanover County School Board	1,797,000	1.21866%
40143	Henrico County School Board	4,875,254	3.30622%
40144	Henry County Public Schools	667,833	0.45290%
40145	Highland County Public Schools	29,757	0.02018%
40146	Isle of Wight County Schools	559,039	0.37912%
40148	King George County School Board	424,529	0.28790%
40149	King & Queen County School Board	86,351	0.05856%
40150	King William County School Board	188,465	0.12781%
40151	Lancaster County Public Schools	101,598	0.06890%
40152	Lee County School Board	307,359	0.20844%
40153	Loudoun County School Board	12,220,457	8.28747%
40154	Louisa County Public Schools	567,164	0.38463%
40155	Lunenburg County School Board	158,384	0.10741%
40156	Madison County School Board	173,940	0.11796%
40157	Mathews County School Board	120,001	0.08138%
40158	Mecklenburg County School Board	401,658	0.27239%
40159	Middlesex County School Board	154,196	0.10457%
40160	Montgomery County School Board	1,003,357	0.68044%
40162	Nelson County Public Schools	189,394	0.12844%
40163	New Kent County School Board	322,533	0.21873%
40165	Northampton County Schools	144,862	0.09824%
40166	Northumberland County School Board	151,763	0.10292%
40167	Nottoway County School Board	175,813	0.11923%
40168	Orange County Public Schools	463,708	0.31447%
40169	Page County Public Schools	322,046	0.21840%
40170	Patrick County School Board	218,708	0.14832%
40171	Pittsylvania County School Board	769,991	0.52218%
40172	Powhatan County School Board	416,301	0.28232%
40173	Prince Edward County School Board	167,275	0.11344%
40174	Prince George County School Board	556,591	0.37746%
40176	Prince William County School Board	10,579,850	7.17487%
40177	Pulaski County School Board	391,513	0.26551%
40178	Rappahannock County School Board	105,093	0.07127%

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocation of Non-Employer Contributions
For the Plan Year Ended and Measurement Date of June 30, 2023

Employer		2023 Non- Employer Contributions⁽¹⁾	2023 Employer Allocation Percentage
Code	Employer		
40179	Richmond County School Board	128,066	0.08685%
40180	Roanoke County School Board	1,386,199	0.94007%
40181	Rockbridge County School Board	283,176	0.19204%
40182	Rockingham County School Board	1,230,912	0.83476%
40183	Russell County School Board	300,960	0.20410%
40184	Scott County School Board	361,668	0.24527%
40185	Shenandoah County School Board	617,506	0.41877%
40186	Smyth County School Board	392,929	0.26647%
40187	Southampton County School Board	220,153	0.14930%
40188	Spotsylvania County School Board	2,268,671	1.53853%
40189	Stafford County School Board	3,125,190	2.11939%
40190	Surry County Schools	118,320	0.08024%
40191	Sussex County School Board	130,986	0.08883%
40192	Tazewell County Schools	432,536	0.29333%
40193	Warren County School Board	544,367	0.36917%
40195	Washington County School Board	597,776	0.40539%
40196	Westmoreland County School Board	161,716	0.10967%
40197	Wise County School Board	523,296	0.35488%
40198	Wythe County School Board	374,305	0.25384%
40199	York County School Board	1,210,489	0.82091%
40200	Alexandria City School Board	2,579,156	1.74909%
40201	Bristol City School Board	225,462	0.15290%
40202	Buena Vista City Schools	83,313	0.05650%
40203	Charlottesville Public Schools	651,126	0.44157%
40205	Danville City Schools	625,572	0.42424%
40206	Fredericksburg City Schools	431,695	0.29276%
40207	Hampton City Schools	1,937,231	1.31376%
40208	Harrisonburg City School Board	786,359	0.53328%
40209	Hopewell City School Board	470,005	0.31874%
40210	Lynchburg Public Schools	919,203	0.62337%
40211	Newport News Public Schools	2,770,084	1.87857%
40212	Norfolk Public Schools	3,328,621	2.25735%
40213	Petersburg City Schools	435,205	0.29514%
40214	Portsmouth School Board	1,285,575	0.87183%
40215	Radford City School Board	155,022	0.10513%
40216	Richmond Public Schools	3,075,526	2.08571%
40217	Roanoke City School Board	1,641,565	1.11325%

**Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocation of Non-Employer Contributions
For the Plan Year Ended and Measurement Date of June 30, 2023**

Employer Code	Employer	2023 Non- Employer Contributions⁽¹⁾	2023 Employer Allocation Percentage
40219	Staunton City Schools	314,836	0.21351%
40220	Suffolk City School Board	1,368,372	0.92798%
40222	Winchester Public Schools	534,119	0.36222%
40223	Martinsville City Schools	186,400	0.12641%
40224	Falls Church Public Schools	473,617	0.32119%
40225	Colonial Heights City Schools	335,037	0.22721%
40231	Fairfax City School Board	1,534	0.00104%
40232	Franklin City Public Schools	119,145	0.08080%
40233	Chesapeake Public Schools	4,474,392	3.03437%
40234	Virginia Beach City School Board	6,877,868	4.66432%
40236	Manassas Park City Schools	388,977	0.26379%
40306	Town of West Point School Board	93,738	0.06357%
40307	Lexington City School Board	56,078	0.03803%
40308	Waynesboro Public Schools	349,311	0.23689%
40309	Town of Colonial Beach Schools	70,691	0.04794%
40313	Galax City Schools	135,528	0.09191%
40314	Norton City Schools	73,448	0.04981%
40332	Manassas City Schools	1,007,839	0.68348%
40335	City of Salem Schools	416,522	0.28247%
40402	Williamsburg-James City County School Board	1,255,331	0.85132%
40403	Poquoson City Public Schools	187,949	0.12746%
40410	Valley Vocational Technical Center	34,490	0.02339%
40412	Charlottesville/Albemarle Vo-Tech Center	25,466	0.01727%
40415	New Horizons Technical Center	152,176	0.10320%
40416	Northern Neck Regional Vocational Center	15,350	0.01041%
40417	Rowanty Vocational Technical Center	14,849	0.01007%
40418	Amelia-Nottoway Vocational Center	5,603	0.00380%
40421	Northern Neck Regional Special Education Program	11,133	0.00755%
40423	Maggie Walker Governor's School for Govt & Intl Studies	76,412	0.05182%
40424	Appomattox Region Governor's School	36,820	0.02497%
40425	Bridging Communities Regional Career and Tech Center	9,732	0.00660%
Total for Teacher Employers		\$ 147,457,029	100.00000%

⁽¹⁾ Contributions from Non-Employer Contributing Entities were allocated to employers based on the Employer Allocation Percentage.

The accompanying notes are an integral part of the Schedule of Employer Allocation of Non-Employer Contributions.

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Net Pension Liability and Total Pension Expense
As of the Measurement Date and For the Plan Year Ended June 30, 2023

Employer Code	Employer	Net Pension Liability	Total Pension Expense (Revenue)
40100	Accomack County School Board	\$ 31,204,984	\$ 2,319,778
40101	Albemarle County Schools	123,914,331	14,994,795
40102	Alleghany County School Board	18,525,496	2,833,205
40103	Amelia County School Board	10,218,384	926,136
40104	Amherst County School Board	28,914,691	2,862,618
40105	Appomattox County School Board	14,138,969	1,470,629
40106	Arlington Public Schools	369,440,570	37,213,867
40107	Augusta County School Board	71,187,065	6,745,957
40108	Bath County School Board	4,904,016	274,303
40109	Bedford County School Board	59,933,703	5,585,820
40110	Bland County School Board	4,212,683	308,980
40111	Botetourt County Schools	31,782,105	2,655,300
40112	Brunswick County Public Schools	8,948,919	176,061
40113	Buchanan County School Board	14,657,468	742,894
40114	Buckingham County School Board	13,630,576	1,409,642
40115	Campbell County School Board	49,187,723	5,293,297
40116	Caroline County School Board	26,160,478	2,673,978
40117	Carroll County School Board	24,699,987	1,891,893
40118	Charles City County School Board	4,196,511	50,180
40119	Charlotte County School Board	20,962,343	4,047,684
40120	Chesterfield County School Board	412,739,836	51,225,592
40121	Clarke County School Board	14,507,882	1,269,814
40122	Craig County School Board	4,049,957	334,689
40123	Culpeper County School Board	53,146,715	4,920,990
40124	Cumberland County School Board	9,872,718	976,605
40125	Dickenson County School Board	11,729,411	1,051,438
40126	Dinwiddie County School Board	29,069,332	2,875,613
40128	Essex County Public Schools	9,004,509	671,618
40129	Fairfax County School Board	1,772,807,760	166,547,136
40130	Fauquier County School Board	88,239,941	7,929,954
40131	Floyd County School Board	12,123,592	1,020,049
40132	Fluvanna County Public Schools	27,534,047	2,098,521
40133	Franklin County Public Schools	45,869,527	2,959,306
40134	Frederick County School Board	108,100,598	10,690,869
40135	Giles County Schools	15,685,371	1,592,664
40136	Gloucester County School Board	37,694,820	3,752,038
40137	Goochland County School Board	19,112,724	2,007,442
40138	Grayson County School Board	11,421,141	1,187,833
40139	Greene County Public Schools	20,849,142	1,887,069

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Net Pension Liability and Total Pension Expense
As of the Measurement Date and For the Plan Year Ended June 30, 2023

Employer Code	Employer	Net Pension Liability	Total Pension Expense (Revenue)
40140	Greensville County School Board	15,298,265	1,389,838
40141	Halifax County School Board	33,332,551	2,942,991
40142	Hanover County School Board	123,172,462	11,504,499
40143	Henrico County School Board	334,166,426	34,879,601
40144	Henry County Public Schools	45,775,530	4,515,862
40145	Highland County Public Schools	2,039,634	110,734
40146	Isle of Wight County Schools	38,318,435	4,153,915
40148	King George County School Board	29,098,643	3,064,737
40149	King & Queen County School Board	5,918,779	659,454
40150	King William County School Board	12,918,018	823,564
40151	Lancaster County Public Schools	6,963,864	66,136
40152	Lee County School Board	21,067,458	1,543,247
40153	Loudoun County School Board	837,631,563	118,226,304
40154	Louisa County Public Schools	38,875,342	4,933,308
40155	Lunenburg County School Board	10,856,149	1,354,336
40156	Madison County School Board	11,922,459	1,025,693
40157	Mathews County School Board	8,225,243	835,586
40158	Mecklenburg County School Board	27,531,015	2,580,750
40159	Middlesex County School Board	10,569,104	1,310,812
40160	Montgomery County School Board	68,773,464	8,270,819
40162	Nelson County Public Schools	12,981,694	927,934
40163	New Kent County School Board	22,107,489	2,676,982
40165	Northampton County Schools	9,929,318	614,038
40166	Northumberland County School Board	10,402,335	1,099,838
40167	Nottoway County School Board	12,050,820	678,106
40168	Orange County Public Schools	31,784,127	2,807,225
40169	Page County Public Schools	22,074,135	1,942,354
40170	Patrick County School Board	14,991,006	1,076,804
40171	Pittsylvania County School Board	52,777,802	5,056,312
40172	Powhatan County School Board	28,534,661	2,519,033
40173	Prince Edward County School Board	11,465,613	380,353
40174	Prince George County School Board	38,150,655	3,183,987
40176	Prince William County School Board	725,178,803	87,492,498
40177	Pulaski County School Board	26,835,639	2,554,916
40178	Rappahannock County School Board	7,203,405	735,901
40179	Richmond County School Board	8,778,107	1,003,672
40180	Roanoke County School Board	95,014,800	9,098,502
40181	Rockbridge County School Board	19,409,876	1,674,819
40182	Rockingham County School Board	84,370,903	8,959,039

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Net Pension Liability and Total Pension Expense
As of the Measurement Date and For the Plan Year Ended June 30, 2023

Employer Code	Employer	Net Pension Liability	Total Pension Expense (Revenue)
40183	Russell County School Board	20,628,805	1,530,058
40184	Scott County School Board	24,789,941	2,386,130
40185	Shenandoah County School Board	42,325,941	4,003,975
40186	Smyth County School Board	26,932,669	2,365,387
40187	Southampton County School Board	15,090,057	1,188,348
40188	Spotsylvania County School Board	155,502,378	14,798,616
40189	Stafford County School Board	214,211,087	27,129,022
40190	Surry County Schools	8,110,021	355,501
40191	Sussex County School Board	8,978,230	700,027
40192	Tazewell County Schools	29,647,464	2,159,043
40193	Warren County School Board	37,312,768	3,902,592
40195	Washington County School Board	40,973,597	3,271,270
40196	Westmoreland County School Board	11,084,571	849,446
40197	Wise County School Board	35,868,448	4,113,262
40198	Wythe County School Board	25,656,129	2,407,096
40199	York County School Board	82,971,055	7,839,386
40200	Alexandria City School Board	176,784,108	15,917,079
40201	Bristol City School Board	15,453,916	1,559,039
40202	Buena Vista City Schools	5,710,571	355,033
40203	Charlottesville Public Schools	44,630,384	3,647,448
40205	Danville City Schools	42,878,806	5,145,949
40206	Fredericksburg City Schools	29,589,853	3,115,039
40207	Hampton City Schools	132,784,413	12,181,685
40208	Harrisonburg City School Board	53,899,702	6,808,611
40209	Hopewell City School Board	32,215,704	3,460,613
40210	Lynchburg Public Schools	63,005,282	4,569,758
40211	Newport News Public Schools	189,870,917	16,254,191
40212	Norfolk Public Schools	228,154,987	14,215,255
40213	Petersburg City Schools	29,830,404	3,346,467
40214	Portsmouth School Board	88,117,643	5,977,459
40215	Radford City School Board	10,625,704	974,609
40216	Richmond Public Schools	210,806,981	24,049,664
40217	Roanoke City School Board	112,518,457	13,985,897
40219	Staunton City Schools	21,579,893	2,186,278
40220	Suffolk City School Board	93,792,839	8,979,258
40222	Winchester Public Schools	36,610,317	3,613,482
40223	Martinsville City Schools	12,776,518	831,782
40224	Falls Church Public Schools	32,463,331	3,314,099
40225	Colonial Heights City Schools	22,964,580	2,127,845

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Net Pension Liability and Total Pension Expense
As of the Measurement Date and For the Plan Year Ended June 30, 2023

Employer Code	Employer	Net Pension Liability	Total Pension Expense (Revenue)
40230	Covington City School Board	—	(1,719,289)
40231	Fairfax City School Board	105,115	7,012
40232	Franklin City Public Schools	8,166,621	567,986
40233	Chesapeake Public Schools	306,689,990	34,881,494
40234	Virginia Beach City School Board	471,432,374	38,202,035
40236	Manassas Park City Schools	26,661,795	2,754,193
40306	Town of West Point School Board	6,425,150	523,942
40307	Lexington City School Board	3,843,770	462,020
40308	Waynesboro Public Schools	23,942,957	2,690,882
40309	Town of Colonial Beach Schools	4,845,394	555,117
40313	Galax City Schools	9,289,532	996,453
40314	Norton City Schools	5,034,399	607,975
40332	Manassas City Schools	69,080,723	7,213,735
40335	City of Salem Schools	28,549,821	2,989,065
40402	Williamsburg-James City County School Board	86,044,656	8,634,208
40403	Poquoson City Public Schools	12,882,643	898,714
40410	Valley Vocational Technical Center	2,364,075	205,943
40412	Charlottesville/Albemarle Vo-Tech Center	1,745,514	264,558
40414	Jackson River Technical Center	—	(173,655)
40415	New Horizons Technical Center	10,430,635	1,009,879
40416	Northern Neck Regional Vocational Center	1,052,160	26,103
40417	Rowanty Vocational Technical Center	1,017,796	128,489
40418	Amelia-Nottoway Vocational Center	384,074	65,170
40421	Northern Neck Regional Special Education Program	763,094	4,667
40423	Maggie Walker Governor's School for Govt & Intl Studies	5,237,554	445,068
40424	Appomattox Region Governor's School	2,523,769	345,931
40425	Bridging Communities Regional Career and Tech Center	667,076	78,813
Total for Teacher Employers⁽¹⁾		\$ 10,107,204,775	\$ 1,036,432,963

⁽¹⁾ Employer-level results may not add to Teacher system-wide results due to rounding.

The accompanying notes are an integral part of the Schedule of Net Pension Liability and Total Pension Expense.

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Deferred Outflows and Deferred Inflows of Resources by Employer
As of the Measurement Date of June 30, 2023

Employer Code	Employer	Deferred Outflows of Resources					Deferred Inflows of Resources				
		Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share and Differences Between Actual and Expected Contributions	Total Deferred Outflows of Resources	Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share and Differences Between Actual and Expected Contributions	Total Deferred Inflows of Resources
40100	Accomack County School Board	\$ 2,680,535	\$ —	\$ 1,414,631	\$ 746,699	\$ 4,841,865	\$ 1,217,752	\$ 2,028,953	\$ —	\$ 2,346,387	\$ 5,593,092
40101	Albemarle County Schools	10,644,347	—	5,617,471	7,264,603	23,526,421	4,835,667	8,056,931	—	1,632,917	14,525,515
40102	Alleghany County School Board	1,591,356	—	839,826	4,589,419	7,020,601	722,944	1,204,531	—	1,167,786	3,095,261
40103	Amelia County School Board	877,768	—	463,235	234,444	1,575,447	398,765	664,401	—	167,568	1,230,734
40104	Amherst County School Board	2,483,797	—	1,310,804	172,835	3,967,436	1,128,375	1,880,038	—	282,448	3,290,861
40105	Appomattox County School Board	1,214,549	—	640,969	537,646	2,393,164	551,763	919,318	—	189,451	1,660,532
40106	Arlington Public Schools	31,735,260	—	16,748,036	13,142,280	61,625,576	14,417,150	24,021,090	—	11,671,384	50,109,624
40107	Augusta County School Board	6,115,029	—	3,227,159	1,514,038	10,856,226	2,778,023	4,628,595	—	1,048,022	8,454,640
40108	Bath County School Board	421,259	—	222,316	705	644,280	191,376	318,860	—	366,821	877,057
40109	Bedford County School Board	5,148,356	—	2,717,005	21,329	7,886,690	2,338,869	3,896,900	—	1,721,078	7,956,847
40110	Bland County School Board	361,873	—	190,976	111,427	664,276	164,397	273,909	—	175,805	614,111
40111	Botetourt County Schools	2,730,110	—	1,440,794	6,190	4,177,094	1,240,274	2,066,478	—	1,087,749	4,394,501
40112	Brunswick County Public Schools	768,720	—	405,686	1,223	1,175,629	349,225	581,860	—	1,333,144	2,264,229
40113	Buchanan County School Board	1,259,089	—	664,474	2,037	1,925,600	571,997	953,031	—	1,150,049	2,675,077
40114	Buckingham County School Board	1,170,878	—	617,922	345,477	2,134,277	531,923	886,262	—	42,069	1,460,254
40115	Campbell County School Board	4,225,267	—	2,229,852	740,084	7,195,203	1,919,515	3,198,194	—	124,651	5,242,360
40116	Caroline County School Board	2,247,207	—	1,185,946	1,087,157	4,520,310	1,020,894	1,700,959	—	583,046	3,304,899
40117	Carroll County School Board	2,121,750	—	1,119,737	102,532	3,344,019	963,899	1,605,997	—	774,987	3,344,883
40118	Charles City County School Board	360,484	—	190,243	618	551,345	163,766	272,858	—	596,564	1,033,188
40119	Charlotte County School Board	1,800,683	—	950,296	14,318,246	17,069,225	818,040	1,362,975	—	10,716,308	12,897,323
40120	Chesterfield County School Board	35,454,703	—	18,710,943	27,252,167	81,417,813	16,106,872	26,836,415	—	1,066,733	44,010,020
40121	Clarke County School Board	1,246,239	—	657,693	410,792	2,314,724	566,160	943,305	—	612,426	2,121,891
40122	Craig County School Board	347,895	—	183,599	10,860	542,354	158,047	263,329	—	182,915	604,291
40123	Culpeper County School Board	4,565,348	—	2,409,327	152,964	7,127,639	2,074,012	3,455,609	—	917,599	6,447,220
40124	Cumberland County School Board	848,075	—	447,565	171,422	1,467,062	385,276	641,926	—	87,180	1,114,382
40125	Dickenson County School Board	1,007,566	—	531,735	311,565	1,850,866	457,732	762,648	—	301,314	1,521,694
40126	Dinwiddie County School Board	2,497,080	—	1,317,815	941,927	4,756,822	1,134,410	1,890,093	—	533,187	3,557,690
40128	Essex County Public Schools	773,495	—	408,206	90,480	1,272,181	351,394	585,475	—	273,867	1,210,736
40129	Fairfax County School Board	152,285,696	—	80,367,589	4,254,779	236,908,064	69,182,535	115,268,266	—	69,539,639	253,990,440
40130	Fauquier County School Board	7,579,886	—	4,000,226	2,049,724	13,629,836	3,443,500	5,737,376	—	3,171,207	12,352,083
40131	Floyd County School Board	1,041,427	—	549,605	15,373	1,606,405	473,114	788,278	—	729,154	1,990,546

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Deferred Outflows and Deferred Inflows of Resources by Employer
As of the Measurement Date of June 30, 2023

Employer Code	Employer	Deferred Outflows of Resources					Deferred Inflows of Resources				
		Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share and Differences Between Actual and Expected Contributions	Total Deferred Outflows of Resources	Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share and Differences Between Actual and Expected Contributions	Total Deferred Inflows of Resources
40132	Fluvanna County Public Schools	2,365,198	—	1,248,215	3,899	3,617,312	1,074,496	1,790,268	—	1,365,557	4,230,321
40133	Franklin County Public Schools	3,940,231	—	2,079,426	6,541	6,026,198	1,790,025	2,982,445	—	3,557,045	8,329,515
40134	Frederick County School Board	9,285,933	—	4,900,579	215,865	14,402,377	4,218,547	7,028,720	—	2,465,576	13,712,843
40135	Giles County Schools	1,347,387	—	711,073	891,571	2,950,031	612,110	1,019,866	—	457,689	2,089,665
40136	Gloucester County School Board	3,238,017	—	1,708,838	1,627,775	6,574,630	1,471,013	2,450,924	—	1,365,311	5,287,248
40137	Goochland County School Board	1,641,799	—	866,447	538,838	3,047,084	745,860	1,242,713	—	226,561	2,215,134
40138	Grayson County School Board	981,086	—	517,760	450,481	1,949,327	445,702	742,605	—	75,810	1,264,117
40139	Greene County Public Schools	1,790,959	—	945,165	743,401	3,479,525	813,623	1,355,615	—	618,801	2,788,039
40140	Greensville County School Board	1,314,134	—	693,524	296,160	2,303,818	597,004	994,696	—	638,344	2,230,044
40141	Halifax County School Board	2,863,294	—	1,511,081	1,071,130	5,445,505	1,300,779	2,167,288	—	756,126	4,224,193
40142	Hanover County School Board	10,580,619	—	5,583,839	1,785,588	17,950,046	4,806,716	8,008,695	—	2,211,532	15,026,943
40143	Henrico County School Board	28,705,180	—	15,148,935	4,057,507	47,911,622	13,040,602	21,727,559	—	5,381,190	40,149,351
40144	Henry County Public Schools	3,932,157	—	2,075,165	929,152	6,936,474	1,786,357	2,976,333	—	436,296	5,198,986
40145	Highland County Public Schools	175,206	—	92,464	7,777	275,447	79,595	132,617	—	163,863	376,075
40146	Isle of Wight County Schools	3,291,586	—	1,737,109	1,271,481	6,300,176	1,495,349	2,491,471	—	554,627	4,541,447
40148	King George County School Board	2,499,598	—	1,319,143	1,072,318	4,891,059	1,135,553	1,891,999	—	362,988	3,390,540
40149	King & Queen County School Board	508,428	—	268,319	267,105	1,043,852	230,976	384,840	—	32,793	648,609
40150	King William County School Board	1,109,669	—	585,619	37,259	1,732,547	504,116	839,932	—	1,289,348	2,633,396
40151	Lancaster County Public Schools	598,202	—	315,696	1,069	914,967	271,760	452,792	—	1,286,779	2,011,331
40152	Lee County School Board	1,809,713	—	955,062	201,423	2,966,198	822,142	1,369,810	—	1,350,258	3,542,210
40153	Loudoun County School Board	71,953,265	—	37,972,774	51,424,839	161,350,878	32,687,963	54,462,949	—	15,634,968	102,785,880
40154	Louisa County Public Schools	3,339,425	—	1,762,355	2,201,032	7,302,812	1,517,082	2,527,681	—	21,974	4,066,737
40155	Lunenburg County School Board	932,552	—	492,147	707,799	2,132,498	423,653	705,869	—	153,203	1,282,725
40156	Madison County School Board	1,024,149	—	540,487	323,368	1,888,004	465,265	775,200	—	296,203	1,536,668
40157	Mathews County School Board	706,555	—	372,879	282,504	1,361,938	320,984	534,807	—	548,123	1,403,914
40158	Mecklenburg County School Board	2,364,938	—	1,248,077	541,898	4,154,913	1,074,378	1,790,071	—	1,204,477	4,068,926
40159	Middlesex County School Board	907,895	—	479,135	355,980	1,743,010	412,452	687,205	—	235,882	1,335,539
40160	Montgomery County School Board	5,907,699	—	3,117,742	3,495,338	12,520,779	2,683,834	4,471,662	—	1,748,201	8,903,697
40162	Nelson County Public Schools	1,115,139	—	588,506	1,883	1,705,528	506,601	844,072	—	612,296	1,962,969
40163	New Kent County School Board	1,899,052	—	1,002,210	1,220,851	4,122,113	862,729	1,437,433	—	87,546	2,387,708
40165	Northampton County Schools	852,937	—	450,131	1,334	1,304,402	387,484	645,606	—	875,721	1,908,811

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Deferred Outflows and Deferred Inflows of Resources by Employer
As of the Measurement Date of June 30, 2023

Employer Code	Employer	Deferred Outflows of Resources					Deferred Inflows of Resources				
		Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share and Differences Between Actual and Expected Contributions	Total Deferred Outflows of Resources	Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share and Differences Between Actual and Expected Contributions	Total Deferred Inflows of Resources
40166	Northumberland County School Board	893,569	—	471,574	450,643	1,815,786	405,944	676,362	—	103,498	1,185,804
40167	Nottoway County School Board	1,035,176	—	546,306	1,738	1,583,220	470,275	783,546	—	875,918	2,129,739
40168	Orange County Public Schools	2,730,284	—	1,440,886	533,132	4,704,302	1,240,352	2,066,609	—	811,347	4,118,308
40169	Page County Public Schools	1,896,187	—	1,000,698	638,726	3,535,611	861,427	1,435,264	—	491,948	2,788,639
40170	Patrick County School Board	1,287,740	—	679,595	309,760	2,277,095	585,013	974,718	—	422,646	1,982,377
40171	Pittsylvania County School Board	4,533,658	—	2,392,603	741,608	7,667,869	2,059,615	3,431,622	—	1,208,245	6,699,482
40172	Powhatan County School Board	2,451,152	—	1,293,576	286,608	4,031,336	1,113,544	1,855,329	—	996,244	3,965,117
40173	Prince Edward County School Board	984,906	—	519,776	1,630	1,506,312	447,437	745,496	—	1,690,856	2,883,789
40174	Prince George County School Board	3,277,174	—	1,729,503	129,756	5,136,433	1,488,802	2,480,562	—	1,310,877	5,280,241
40176	Prince William County School Board	62,293,477	—	32,874,897	37,075,887	132,244,261	28,299,576	47,151,251	—	1,889,235	77,340,062
40177	Pulaski County School Board	2,305,204	—	1,216,554	1,406,297	4,928,055	1,047,241	1,744,858	—	412,919	3,205,018
40178	Rappahannock County School Board	618,779	—	326,556	189,210	1,134,545	281,108	468,367	—	32,858	782,333
40179	Richmond County School Board	754,047	—	397,942	263,348	1,415,337	342,559	570,754	—	16,393	929,706
40180	Roanoke County School Board	8,161,852	—	4,307,354	973,537	13,442,743	3,707,884	6,177,879	—	584,964	10,470,727
40181	Rockbridge County School Board	1,667,325	—	879,918	42,381	2,589,624	757,456	1,262,033	—	990,437	3,009,926
40182	Rockingham County School Board	7,247,532	—	3,824,829	2,497,639	13,570,000	3,292,513	5,485,811	—	529,995	9,308,319
40183	Russell County School Board	1,772,032	—	935,176	107,423	2,814,631	805,024	1,341,288	—	1,665,451	3,811,763
40184	Scott County School Board	2,129,477	—	1,123,815	194,506	3,447,798	967,409	1,611,846	—	345,803	2,925,058
40185	Shenandoah County School Board	3,635,834	—	1,918,783	174,386	5,729,003	1,651,739	2,752,040	—	1,713,421	6,117,200
40186	Smyth County School Board	2,313,539	—	1,220,952	527,472	4,061,963	1,051,028	1,751,167	—	788,300	3,590,495
40187	Southampton County School Board	1,296,249	—	684,085	120,878	2,101,212	588,879	981,158	—	770,538	2,340,575
40188	Spotsylvania County School Board	13,357,787	—	7,049,468	176,440	20,583,695	6,068,367	10,110,791	—	2,232,981	18,412,139
40189	Stafford County School Board	18,400,915	—	9,710,939	15,105,093	43,216,947	8,359,432	13,928,042	—	—	22,287,474
40190	Surry County Schools	696,658	—	367,656	1,152	1,065,466	316,488	527,315	—	632,088	1,475,891
40191	Sussex County School Board	771,238	—	407,015	1,286	1,179,539	350,369	583,766	—	455,280	1,389,415
40192	Tazewell County Schools	2,546,742	—	1,344,023	551,440	4,442,205	1,156,971	1,927,683	—	687,091	3,771,745
40193	Warren County School Board	3,205,199	—	1,691,519	1,265,514	6,162,232	1,456,104	2,426,083	—	814,938	4,697,125
40195	Washington County School Board	3,519,667	—	1,857,477	5,713	5,382,857	1,598,965	2,664,110	—	1,499,753	5,762,828
40196	Westmoreland County School Board	952,174	—	502,502	89,636	1,544,312	432,567	720,721	—	495,337	1,648,625
40197	Wise County School Board	3,081,130	—	1,626,042	1,776,574	6,483,746	1,399,740	2,332,173	—	612,669	4,344,582
40198	Wythe County School Board	2,203,883	—	1,163,082	688,768	4,055,733	1,001,212	1,668,166	—	342,838	3,012,216

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Deferred Outflows and Deferred Inflows of Resources by Employer
As of the Measurement Date of June 30, 2023

Employer Code	Employer	Deferred Outflows of Resources					Deferred Inflows of Resources				
		Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share and Differences Between Actual and Expected Contributions	Total Deferred Outflows of Resources	Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share and Differences Between Actual and Expected Contributions	Total Deferred Inflows of Resources
40199	York County School Board	7,127,284	—	3,761,369	463,116	11,351,769	3,237,885	5,394,792	—	2,418,588	11,051,265
40200	Alexandria City School Board	15,185,905	—	8,014,243	197,889	23,398,037	6,898,871	11,494,533	—	7,304,435	25,697,839
40201	Bristol City School Board	1,327,505	—	700,580	582,040	2,610,125	603,078	1,004,816	—	487,104	2,094,998
40202	Buena Vista City Schools	490,543	—	258,880	174,491	923,914	222,851	371,302	—	446,884	1,041,037
40203	Charlottesville Public Schools	3,833,788	—	2,023,252	21,820	5,878,860	1,741,668	2,901,875	—	2,714,137	7,357,680
40205	Danville City Schools	3,683,326	—	1,943,847	1,175,872	6,803,045	1,673,314	2,787,987	—	483,478	4,944,779
40206	Fredericksburg City Schools	2,541,794	—	1,341,412	1,514,124	5,397,330	1,154,723	1,923,937	—	520,630	3,599,290
40207	Hampton City Schools	11,406,294	—	6,019,583	1,702,208	19,128,085	5,181,815	8,633,665	—	1,247,421	15,062,901
40208	Harrisonburg City School Board	4,630,030	—	2,443,462	2,753,378	9,826,870	2,103,397	3,504,568	—	—	5,607,965
40209	Hopewell City School Board	2,767,356	—	1,460,451	1,787,993	6,015,800	1,257,194	2,094,671	—	788,113	4,139,978
40210	Lynchburg Public Schools	5,412,207	—	2,856,250	971,583	9,240,040	2,458,735	4,096,614	—	2,209,662	8,765,011
40211	Newport News Public Schools	16,310,073	—	8,607,514	161,980	25,079,567	7,409,575	12,345,440	—	4,293,631	24,048,646
40212	Norfolk Public Schools	19,598,708	—	10,343,065	32,030	29,973,803	8,903,583	14,834,677	—	17,639,891	41,378,151
40213	Petersburg City Schools	2,562,457	—	1,352,317	1,012,727	4,927,501	1,164,110	1,939,578	—	397,851	3,501,539
40214	Portsmouth School Board	7,569,381	—	3,994,682	303,882	11,867,945	3,438,727	5,729,424	—	9,346,560	18,514,711
40215	Radford City School Board	912,757	—	481,700	450,782	1,845,239	414,660	690,885	—	502,739	1,608,284
40216	Richmond Public Schools	18,108,499	—	9,556,619	16,173,789	43,838,907	8,226,589	13,706,706	—	12,413,784	34,347,079
40217	Roanoke City School Board	9,665,431	—	5,100,856	11,987,356	26,753,643	4,390,951	7,315,969	—	976,909	12,683,829
40219	Staunton City Schools	1,853,731	—	978,292	801,550	3,633,573	842,140	1,403,128	—	251,560	2,496,828
40220	Suffolk City School Board	8,056,885	—	4,251,958	1,590,222	13,899,065	3,660,197	6,098,427	—	3,559,120	13,317,744
40222	Winchester Public Schools	3,144,857	—	1,659,674	1,034,163	5,838,694	1,428,691	2,380,409	—	369,497	4,178,597
40223	Martinsville City Schools	1,097,514	—	579,204	1,828	1,678,546	498,594	830,731	—	810,448	2,139,773
40224	Falls Church Public Schools	2,788,628	—	1,471,677	1,128,678	5,388,983	1,266,858	2,110,771	—	1,035,877	4,413,506
40225	Colonial Heights City Schools	1,972,677	—	1,041,065	180,914	3,194,656	896,176	1,493,161	—	417,199	2,806,536
40230	Covington City School Board	—	—	—	—	—	—	—	—	4,596,750	4,596,750
40231	Fairfax City School Board	9,029	—	4,765	20	13,814	4,102	6,835	—	9,128	20,065
40232	Franklin City Public Schools	701,520	—	370,222	828,886	1,900,628	318,696	530,995	—	511,566	1,361,257
40233	Chesapeake Public Schools	26,344,931	—	13,903,332	11,616,744	51,865,007	11,968,354	19,941,036	—	640,642	32,550,032
40234	Virginia Beach City School Board	40,496,442	—	21,371,682	65,724	61,933,848	18,397,306	30,652,614	—	20,633,056	69,682,976
40236	Manassas Park City Schools	2,290,271	—	1,208,673	758,103	4,257,047	1,040,457	1,733,555	—	592,088	3,366,100
40306	Town of West Point School Board	551,926	—	291,275	254,245	1,097,446	250,737	417,764	—	440,829	1,109,330

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Deferred Outflows and Deferred Inflows of Resources by Employer
As of the Measurement Date of June 30, 2023

Employer Code	Employer	Deferred Outflows of Resources					Deferred Inflows of Resources				
		Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share and Differences Between Actual and Expected Contributions	Total Deferred Outflows of Resources	Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share and Differences Between Actual and Expected Contributions	Total Deferred Inflows of Resources
40307	Lexington City School Board	330,183	—	174,252	119,741	624,176	150,000	249,923	—	78,906	478,829
40308	Waynesboro Public Schools	2,056,720	—	1,085,418	2,185,001	5,327,139	934,357	1,556,775	—	275,862	2,766,994
40309	Town of Colonial Beach Schools	416,223	—	219,659	576,711	1,212,593	189,088	315,048	—	160,687	664,823
40313	Galax City Schools	797,979	—	421,127	490,970	1,710,076	362,517	604,007	—	118,315	1,084,839
40314	Norton City Schools	432,459	—	228,227	501,677	1,162,363	196,464	327,337	—	24,365	548,166
40332	Manassas City Schools	5,934,093	—	3,131,671	2,321,564	11,387,328	2,695,825	4,491,641	—	1,607,596	8,795,062
40335	City of Salem Schools	2,452,454	—	1,294,263	879,329	4,626,046	1,114,136	1,856,314	—	345,448	3,315,898
40402	Williamsburg-James City County School Board	7,391,309	—	3,900,706	1,800,181	13,092,196	3,357,830	5,594,638	—	1,901,449	10,853,917
40403	Poquoson City Public Schools	1,106,630	—	584,015	1,798	1,692,443	502,736	837,632	—	1,018,739	2,359,107
40410	Valley Vocational Technical Center	203,076	—	107,172	129,149	439,397	92,256	153,713	—	121,368	367,337
40412	Charlottesville/Albemarle Vo-Tech Center	149,941	—	79,130	255,481	484,552	68,117	113,494	—	6,324	187,935
40414	Jackson River Technical Center	—	—	—	—	—	—	—	—	483,767	483,767
40415	New Horizons Technical Center	896,000	—	472,857	63,355	1,432,212	407,048	678,202	—	195,516	1,280,766
40416	Northern Neck Regional Vocational Center	90,381	—	47,698	9,897	147,976	41,060	68,412	—	308,017	417,489
40417	Rowanty Vocational Technical Center	87,430	—	46,140	63,106	196,676	39,719	66,177	—	24,111	130,007
40418	Amelia-Nottoway Vocational Center	32,992	—	17,411	111,355	161,758	14,988	24,973	—	36,333	76,294
40421	Northern Neck Regional Special Education Program	65,550	—	34,594	90,706	190,850	29,779	49,617	—	199,199	278,595
40423	Maggie Walker Governor's School for Govt & Intl Studies	449,910	—	237,437	109,073	796,420	204,392	340,547	—	181,740	726,679
40424	Appomattox Region Governor's School	216,794	—	114,411	135,741	466,946	98,488	164,096	—	2,123	264,707
40425	Bridging Communities Regional Career and Tech Center	57,302	—	30,241	105,340	192,883	26,032	43,373	—	42,528	111,933
Total for Teacher Employers		\$868,217,490	\$ —	\$ 458,195,014	\$ 292,640,701	\$ 1,619,053,205	\$ 394,426,322	\$ 657,172,197	\$ —	\$ 291,225,381	\$ 1,342,823,900

The accompanying notes are an integral part of the Schedule of Deferred Outflows and Deferred Inflows of Resources by Employer.

**Virginia Retirement System
VRS Teacher Retirement Plan
Notes to GASB No. 68 Schedules
For the Plan Year Ended Date of June 30, 2023**

Note 1. Summary of Significant Accounting Policies

Description of the Entity

The Virginia Retirement System (the System) is an independent agency of the Commonwealth of Virginia. The System administers four separate pension trust funds – the Virginia Retirement System (VRS), the State Police Officers' Retirement System (SPORS), the Virginia Law Officers' Retirement System (VaLORS) and the Judicial Retirement System (JRS). The VRS Teacher Retirement Plan is part of the VRS Trust Fund.

Administration and Management

The Board of Trustees (the Board) is responsible for the general administration and operation of the defined benefit pension plans and the other employee benefit plans. The Board has full power to invest and reinvest the trust funds of the System through the adoption of investment policies and guidelines that fulfill the Board's investment objective to maximize long-term investment returns while targeting an acceptable level of risk.

The Board consists of nine members. Five members are appointed by the Governor and four members are appointed by the Joint Rules Committee of the General Assembly subject to confirmation by the General Assembly. The Board appoints a Director to serve as the Chief Administrative Officer of the System and a Chief Investment Officer to direct, manage, and administer the investment of the System's funds.

The System issues an *Annual Comprehensive Financial Report* (Annual Report) containing the financial statements and required supplementary information for all of the System's pension and other employee benefit trust funds. A copy of the 2023 VRS Annual Report may be downloaded from the VRS website at varetire.org/pdf/publications/2023-annual-report.pdf, or by writing to the System's Chief Financial Officer at P.O. Box 2500, Richmond, VA 23218-2500. The pension and other employee benefit trust funds administered by the VRS are classified as fiduciary funds and are included in the basic financial statements of the Commonwealth of Virginia.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Virginia Retirement System (VRS) Teacher Retirement Plan and the additions to/deductions from the VRS Teacher Retirement Plan's net fiduciary position have been determined on the same basis as they were reported by VRS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Note 2. General Information about the Pension Plan

Plan Description

All full-time, salaried permanent (professional) employees of public school divisions are automatically covered by the VRS Teacher Retirement Plan upon employment. This plan is administered by the Virginia Retirement System (the System) along with plans for other employer groups in the Commonwealth of Virginia. The VRS Teacher Retirement Plan is a multiple-employer cost-sharing plan. Members earn one month of service credit for each month they are employed and for which they and their employer pay contributions to VRS. Members are eligible to purchase prior service, based on specific criteria as defined in the *Code of Virginia*, as amended. Eligible prior service that may be purchased includes prior public service, active military service, certain periods of leave and previously refunded service.

The System administers three different benefit structures for covered employees in the VRS Teacher Retirement Plan – Plan 1, Plan 2 and Hybrid. Each of these benefit structures has different eligibility criteria. The specific information for each plan, and the eligibility for covered groups within each plan are set out in the table below:

RETIREMENT PLAN PROVISIONS BY PLAN STRUCTURE		
PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
About Plan 1 Plan 1 is a defined benefit plan. The retirement benefit is based on a member's age, service credit and average final compensation at retirement using a formula.	About Plan 2 Plan 2 is a defined benefit plan. The retirement benefit is based on a member's age, service credit and average final compensation at retirement using a formula.	About the Hybrid Retirement Plan The Hybrid Retirement Plan combines the features of a defined benefit plan and a defined contribution plan. • The defined benefit is based on a member's age, service credit and average final compensation at retirement using a formula. • The benefit from the defined contribution component of the plan depends on the member and employer contributions made to the plan and the investment performance of those contributions. • In addition to the monthly benefit payment payable from the defined benefit plan at retirement, a member may start receiving distributions from the balance in the defined contribution account, reflecting the contributions, investment gains or losses, and any required fees.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Eligible Members Members are in Plan 1 if their membership date is before July 1, 2010, and they were vested as of January 1, 2013, and they have not taken a refund. Hybrid Opt-In Election VRS non-hazardous duty-covered Plan 1 members were allowed to make an irrevocable decision to opt into the Hybrid Retirement Plan during a special election window held January 1 through April 30, 2014. The Hybrid Retirement Plan's effective date for eligible Plan 1 members who opted in was July 1, 2014. If eligible deferred members returned to work during the election window, they were also eligible to opt into the Hybrid Retirement Plan. Members who were eligible for an optional retirement plan (ORP) and had prior service under Plan 1 were not eligible to elect the Hybrid Retirement Plan, and remain as Plan 1 or ORP.	Eligible Members Members are in Plan 2 if their membership date is from July 1, 2010, to December 31, 2013, and they have not taken a refund. Members are covered under Plan 2 if they have a membership date prior to July 1, 2010, and they were not vested before January 1, 2013. Hybrid Opt-In Election Eligible Plan 2 members were allowed to make an irrevocable decision to opt into the Hybrid Retirement Plan during a special election window held January 1 through April 30, 2014. The Hybrid Retirement Plan's effective date for eligible Plan 2 members who opted in was July 1, 2014. If eligible deferred members returned to work during the election window, they were also eligible to opt into the Hybrid Retirement Plan.	Eligible Members Members are in the Hybrid Retirement Plan if their membership date is on or after January 1, 2014. This includes: • School division employees. • Members in Plan 1 or Plan 2 who elected to opt into the plan during the election window held January 1-April 30, 2014; the plan's effective date for opt-in members was July 1, 2014.
Retirement Contributions Employees contribute 5% of their compensation each month to their member contribution account through a pretax salary reduction. Member contributions are tax-deferred until they are withdrawn as part of a retirement benefit or as a refund. The employer makes a separate actuarially determined contribution to VRS for all covered employees. VRS invests both member and employer contributions to provide funding for the future benefit payments.	Retirement Contributions Same as Plan 1.	Retirement Contributions A member's retirement benefit is funded through mandatory and voluntary contributions made by the member and the employer to both the defined benefit and the defined contribution components of the plan. Mandatory contributions are based on a percentage of the employee's creditable compensation and are required from both the member and the employer. Additionally, members may choose to make voluntary contributions to the defined contribution component of the plan, and the employer is required to match those voluntary contributions according to specified percentages.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Service Credit Service credit includes active service. Members earn service credit for each month they are employed in a covered position. It also may include credit for prior service the member has purchased or additional service credit the member was granted. A member's total service credit is one of the factors used to determine their eligibility for retirement and to calculate their retirement benefit. It also may count toward eligibility for the health insurance credit in retirement, if the employer offers the health insurance credit.	Service Credit Same as Plan 1.	Service Credit <i>Defined Benefit Component:</i> Under the defined benefit component of the plan, service credit includes active service. Members earn service credit for each month they are employed in a covered position. It also may include credit for prior service the member has purchased or additional service credit the member was granted. A member's total service credit is one of the factors used to determine their eligibility for retirement and to calculate their retirement benefit. It also may count toward eligibility for the health insurance credit in retirement, if the employer offers the health insurance credit. <i>Defined Contribution Component:</i> Under the defined contribution component, service credit is used to determine vesting for the employer contribution portion of the plan.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Vesting Vesting is the minimum length of service a member needs to qualify for a future retirement benefit. Members become vested when they have at least five years (60 months) of service credit. Vesting means members are eligible to qualify for retirement if they meet the age and service requirements for their plan. Members also must be vested to receive a full refund of their member contribution account balance if they leave employment and request a refund. Members are always 100% vested in the contributions that they make.	Vesting Same as Plan 1.	Vesting <i>Defined Benefit Component:</i> Defined benefit vesting is the minimum length of service a member needs to qualify for a future retirement benefit. Members are vested under the defined benefit component of the Hybrid Retirement Plan when they reach five years (60 months) of service credit. Plan 1 or Plan 2 members with at least five years (60 months) of service credit who opted into the Hybrid Retirement Plan remain vested in the defined benefit component. <i>Defined Contribution Component:</i> Defined contribution vesting refers to the minimum length of service a member needs to be eligible to withdraw the employer contributions from the defined contribution component of the plan. Members are always 100% vested in the contributions that they make. Upon retirement or leaving covered employment, a member is eligible to withdraw a percentage of employer contributions to the defined contribution component of the plan, based on service. • After two years, a member is 50% vested and may withdraw 50% of employer contributions. • After three years, a member is 75% vested and may withdraw 75% of employer contributions. • After four or more years, a member is 100% vested and may withdraw 100% of employer contributions. Distributions not required, except as governed by law.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Calculating the Benefit The basic benefit is determined using the average final compensation, service credit and plan multiplier. An early retirement reduction is applied to this amount if the member is retiring with a reduced benefit. In cases where the member has elected an optional form of retirement payment, an option factor specific to the option chosen is then applied.	Calculating the Benefit See definition under Plan 1.	Calculating the Benefit <i>Defined Benefit Component:</i> See definition under Plan 1. <i>Defined Contribution Component:</i> The benefit is based on contributions made by the member and any matching contributions made by the employer, plus net investment earnings on those contributions.
Average Final Compensation A member's average final compensation is the average of the 36 consecutive months of highest compensation as a covered employee.	Average Final Compensation A member's average final compensation is the average of the 60 consecutive months of highest compensation as a covered employee.	Average Final Compensation Same as Plan 2. It is used in the retirement formula for the defined benefit component of the plan.
Service Retirement Multiplier The retirement multiplier is a factor used in the formula to determine a final retirement benefit. The retirement multiplier for members is 1.70%.	Service Retirement Multiplier Same as Plan 1 for service earned, purchased or granted prior to January 1, 2013. The retirement multiplier is 1.65% for service credit earned, purchased or granted on or after January 1, 2013.	Service Retirement Multiplier <i>Defined Benefit Component:</i> The retirement multiplier for the defined benefit component is 1.00%. For members who opted into the Hybrid Retirement Plan from Plan 1 or Plan 2, the applicable multipliers for those plans will be used to calculate the retirement benefit for service credited in those plans. <i>Defined Contribution Component:</i> Not applicable.
Normal Retirement Age Age 65.	Normal Retirement Age Normal Social Security retirement age.	Normal Retirement Age <i>Defined Benefit Component:</i> Same as Plan 2. <i>Defined Contribution Component:</i> Members are eligible to receive distributions upon leaving employment, subject to restrictions.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Earliest Unreduced Retirement Eligibility Age 65 with at least five years (60 months) of service credit or at age 50 with at least 30 years of service credit.	Earliest Unreduced Retirement Eligibility Normal Social Security retirement age with at least five years (60 months) of service credit or when their age plus service credit equals 90.	Earliest Unreduced Retirement Eligibility <i>Defined Benefit Component:</i> Normal Social Security retirement age and have at least five years (60 months) of service credit or when their age and service equal 90. <i>Defined Contribution Component:</i> Members are eligible to receive distributions upon leaving employment, subject to restrictions.
Earliest Reduced Retirement Eligibility Age 55 with at least five years (60 months) of service credit or age 50 with at least 10 years of service credit.	Earliest Reduced Retirement Eligibility Age 60 with at least five years (60 months) of service credit.	Earliest Reduced Retirement Eligibility <i>Defined Benefit Component:</i> Age 60 with at least five years (60 months) of service credit. <i>Defined Contribution Component:</i> Members are eligible to receive distributions upon leaving employment, subject to restrictions.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Cost-of-Living Adjustment (COLA) in Retirement The Cost-of-Living Adjustment (COLA) matches the first 3% increase in the Consumer Price Index for all Urban Consumers (CPI-U) and half of any additional increase (up to 4%) up to a maximum COLA of 5%. <i>Eligibility:</i> For members who retire with an unreduced benefit or with a reduced benefit with at least 20 years of service credit, the COLA will go into effect on July 1 after one full calendar year from the retirement date. For members who retire with a reduced benefit and who have less than 20 years of service credit, the COLA will go into effect on July 1 after one calendar year following the unreduced retirement eligibility date. <i>Exceptions to COLA Effective Dates:</i> The COLA is effective July 1 following one full calendar year (January 1 to December 31) under any of the following circumstances: • The member is within five years of qualifying for an unreduced retirement benefit as of January 1, 2013. • The member retires on disability. • The member retires directly from short-term or long-term disability. • The member is involuntarily separated from employment for causes other than job performance or misconduct and is eligible to retire under the Workforce Transition Act or the Transitional Benefits Program. • The member dies in service and the member's survivor or beneficiary is eligible for a monthly death-in-service benefit. The COLA will go into effect on July 1 following one full calendar year (January 1 to December 31) from the date the monthly benefit begins.	Cost-of-Living Adjustment (COLA) in Retirement The Cost-of-Living Adjustment (COLA) matches the first 2% increase in the CPI-U and half of any additional increase (up to 2%), for a maximum COLA of 3%. <i>Eligibility:</i> Same as Plan 1. <i>Exceptions to COLA Effective Dates:</i> Same as Plan 1.	Cost-of-Living Adjustment (COLA) in Retirement <i>Defined Benefit Component:</i> Same as Plan 2. <i>Defined Contribution Component:</i> Not applicable. <i>Eligibility:</i> Same as Plan 1 and Plan 2. <i>Exceptions to COLA Effective Dates:</i> Same as Plan 1 and Plan 2.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Disability Coverage Members who are eligible to be considered for disability retirement and retire on disability, the retirement multiplier is 1.70% on all service, regardless of when it was earned, purchased or granted.	Disability Coverage Members who are eligible to be considered for disability retirement and retire on disability, the retirement multiplier is 1.65% on all service, regardless of when it was earned, purchased or granted.	Disability Coverage Employees of political subdivisions and school divisions (including Plan 1 and Plan 2 opt-ins) participate in the Virginia Local Disability Program (VLDP) unless their local governing body provides and employer-paid comparable program for its members. Hybrid plan members (including Plan 1 and Plan 2 opt-ins) covered under VLDP are subject to a one-year waiting period before becoming eligible for non-work-related disability benefits.
Purchase of Prior Service Members may be eligible to purchase service from previous public employment, active duty military service, an eligible period of leave or VRS refunded service as service credit in their plan. Prior service credit counts toward vesting, eligibility for retirement and the health insurance credit. Only active members are eligible to purchase prior service. Members also may be eligible to purchase periods of leave without pay.	Purchase of Prior Service Same as Plan 1.	Purchase of Prior Service <i>Defined Benefit Component:</i> Same as Plan 1, with the following exception: Hybrid Retirement Plan members are ineligible for ported service. <i>Defined Contribution Component:</i> Not applicable.

Contributions

The contribution requirement for active employees is governed by § 51.1-145 of the *Code of Virginia*, as amended, but may be impacted as a result of funding provided to school divisions by the Virginia General Assembly. Employees are required to contribute 5.00% of their compensation toward their retirement. Each school division's contractually required employer contribution rate for the year ended June 30, 2023, was 16.62% of covered employee compensation. This was the General Assembly approved rate which was based on the actuarial valuation as of June 30, 2021 which set a rate of 14.76%. The actuarially determined rate, when combined with employee contributions, was expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability.

In June 2023, the Commonwealth made a special contribution of approximately \$147.5 million to the VRS Teacher Employee Plan. This special payment was authorized by Chapter 2 of the Acts of Assembly of 2022, Special Session I, as amended by Chapter 769, 2023 Acts of Assembly Reconvened Session, and is classified as a non-employer contribution.

Actuarial Assumptions and Methods

The total pension liability for the VRS Teacher Retirement Plan was based on an actuarial valuation as of June 30, 2022, using the Entry Age Normal actuarial cost method and the following assumptions, applied to all periods included in the measurement and rolled forward to the measurement date of June 30, 2023.

Inflation	2.50%
Salary increases, including inflation	3.50% – 5.95%
Investment rate of return	6.75%, net of pension plan investment expenses, including inflation

Mortality rates:

Pre-retirement:

Pub-2010 Amount Weighted Teachers Employee Rates projected generationally;
110% of rates for males

Post-retirement:

Pub-2010 Amount Weighted Teachers Healthy Retiree Rates projected
generationally; males set forward 1 year; 105% of rates for females

Post-disablement:

Pub-2010 Amount Weighted Teachers Disabled Rates projected
generationally; 110% of rates for males and females

Beneficiaries and Survivors:

Pub-2010 Amount Weighted Teachers Contingent Annuitant Rates projected
generationally

Mortality Improvement:

Rates projected generationally with Modified MP-2020 Improvement Scale
that is 75% of the MP-2020 rates

The actuarial assumptions used in the June 30, 2022, valuation were based on the results of an actuarial experience study for the period from July 1, 2016, through June 30, 2020, except the change in the discount rate, which was based on VRS Board action effective as of July 1, 2021. Changes to the actuarial assumptions as a result of the experience study and VRS Board action are as follows:

Mortality Rates (Pre-retirement, post-retirement healthy, and disabled)	Update to PUB2010 public sector mortality tables. For future mortality improvements, replace load with a modified Mortality Improvement Scale MP-2020
Retirement Rates	Adjusted rates to better fit experience for Plan 1; set separate rates based on experience for Plan 2/Hybrid; changed final retirement age from 75 to 80 for all
Withdrawal Rates	Adjusted rates to better fit experience at each year age and service through 9 years of service
Disability Rates	No change
Salary Scale	No change
Discount Rate	No change

Note 3. Net Pension Liability

The net pension liability (NPL) is calculated separately for each system and represents that particular system's total pension liability determined in accordance with GASB Statement No. 67, less that system's fiduciary net position. As of June 30, 2023, NPL amounts for the VRS Teacher Retirement Plan are as follows (amounts expressed in thousands):

Total Pension Liability	\$ 57,574,609
Plan Fiduciary Net Position	47,467,405
Employers' Net Pension Liability (Asset)	<u>\$ 10,107,204</u>

Plan Fiduciary Net Position as a Percentage of the Total Pension Liability	82.45%
--	--------

The total pension liability is calculated by the System's actuary, and each plan's fiduciary net position is reported in the System's financial statements. The net pension liability is disclosed in accordance with the requirements of GASB Statement No. 67 in the System's notes to the financial statements and required supplementary information.

Discount Rate

The discount rate used to measure the total pension liability was 6.75%. The projection of cash flows used to determine the discount rate assumes that member contributions are made per the VRS Statutes and the employer contributions are made in accordance with the VRS funding policy at rates equal to the difference between actuarially determined contribution rates adopted by the VRS Board of Trustees and the member rate. Through the fiscal year ending June 30, 2023, the rate contributed by the school divisions for the VRS Teacher Retirement Plan was subject to the portion of the VRS Board-certified rates that were funded by the Virginia General Assembly which was 112% of the actuarially determined contribution rate. From July 1, 2023, on, school divisions are assumed to continue to contribute 112% of the actuarially determined contribution rates. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

Long-Term Expected Rate of Return

The long-term expected rate of return on pension System investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected returns, net of pension System investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target asset allocation and best estimate of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class (Strategy)	Long-Term Target Asset Allocation	Arithmetic Long-Term Expected Rate of Return	Weighted Average Long-Term Expected Rate of Return*
Public Equity	34.00%	6.14%	2.09%
Fixed Income	15.00%	2.56%	0.38%
Credit Strategies	14.00%	5.60%	0.78%
Real Assets	14.00%	5.02%	0.70%
Private Equity	16.00%	9.17%	1.47%
MAPS - Multi -Asset Public Strategies	4.00%	4.50%	0.18%
PIP- Private Investment Partnership	2.00%	7.18%	0.14%
Cash	1.00%	1.20%	0.01%
Total	100.00%		5.75%
	Inflation		2.50%
	* Expected arithmetic nominal return		8.25%

** The above allocation provides a one-year return of 8.25%. However, one-year returns do not take into account the volatility present in each of the asset classes. In setting the long-term expected return for the System, stochastic projections are employed to model future returns under various economic conditions. These results provide a range of returns over various time periods that ultimately provide a median return of 7.14%, including expected inflation of 2.50%.*

On June 15, 2023, the VRS Board elected a long-term rate of return of 6.75%, which was roughly at the 45th percentile of expected long-term results of the VRS fund asset allocation at that time, providing a median return of 7.14%, including expected inflation of 2.50%.

Sensitivity Analysis

The following table presents the collective net pension liability of the participating employers in the VRS Teacher Retirement Plan using the discount rate of 6.75%, as well as what collective net pension liability of the participating employers in the VRS Teacher Retirement Plan net pension liability would be if it were calculated using a discount rate that is one percentage point lower (5.75%) or one percentage point higher (7.75%) than the current rate (amounts expressed in thousands):

Net Pension Liability - 1.00% Decrease (5.75%)	\$	17,916,469
Net Pension Liability - Current Discount Rate (6.75%)	\$	10,107,204
Net Pension Liability - 1.00% Increase (7.75%)	\$	3,687,347

Note 4. Deferred Outflows / (Inflows) of Resources

The following schedule reflects the amortization of the net balance of remaining deferred outflows/(inflows) of resources at June 30, 2023. The average remaining service lives of all employees provided with pensions through the VRS Teacher Retirement Plan at June 30, 2023, was 4.75 years. Deferred outflows of resources related to pensions resulting from the school division's contributions subsequent to the measurement date will be recognized as a reduction of the Net Pension Liability in the financial statements for the year ended June 30, 2025. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Measurement Period Ending June 30, 2024	\$ (171,530,999)
Measurement Period Ending June 30, 2025	\$ (566,095,085)
Measurement Period Ending June 30, 2026	\$ 816,816,130
Measurement Period Ending June 30, 2027	\$ 197,039,259

Note 5. Employer Contributions

Employers' proportionate shares were calculated on the basis of historical employer contributions. Although GASB Statement No. 68 encourages the use of the employer's projected long-term contribution effort to the retirement plan, allocating on the basis of historical employer contributions is considered acceptable. Employer contributions recognized by the VRS Teacher Retirement Plan that are not representative of future contribution effort are excluded in the determination of employers' proportionate shares. Examples of employer contributions not representative of future contribution effort are contributions toward the purchase of employee service, contributions for adjustments for prior periods and supplemental employer contributions from certain employers.

The employer contributions used in the determination of employers' proportionate shares of collective pension amounts reported in the Schedule of Employer Allocations were based on the total employer contributions using the plan's contribution rates and the employer's covered payroll for FY 2023. This total was \$1,657,117,583. Of this amount, \$78,559,884 was transferred to MissionSquare as the employer cost of the defined contribution component for employees covered by the Hybrid Retirement Plan benefit structure and \$1,578,557,699 was retained by the defined benefit plan. The employer contributions of \$1,576,963,398 reported in the VRS Teacher Employee's Retirement Plan's Statement of Changes in Net Position (per the System's separately issued financial statements) reflects this net amount minus approximately \$1,594,301 in other employer contribution adjustments that were not representative of future contribution efforts.

Note 6. Additional Financial and Actuarial Information

Information contained in the VRS Teacher Retirement Plan Notes to the Schedule of Employer Allocations and Schedule of Pension Amounts by Employer (Schedules) was extracted from the audited financial statements of the Virginia Retirement System for the fiscal year ended June 30, 2023. Additional financial information supporting the preparation of the VRS Teacher Retirement Plan Schedules (including the Financial statements and the unmodified audit opinion thereon, and required supplementary information) is presented in the separately issued VRS 2023 Annual Report. A copy of the 2023 VRS Annual Report may be downloaded from the VRS website at varetire.org/pdf/publications/2023-annual-report.pdf, or by writing to the System's Chief Financial Officer at P.O. Box 2500, Richmond, VA 23218-2500.